

M/s Rubi Ice Factory v. Dakshinanchal Vidyut Vitaran Nigam Ltd. & Another

High Court of Judicature at Allahabad · Division Bench · 9 March 2017 · Writ - C No. 8168 of 2017 · **Writ petition dismissed. The petitioner's contention that, an FIR under Section 135 having been lodged, no assessment could be made under Section 126 of the Electricity Act, 2003 was rejected (following Sandeep Kesarwani), and the Court declined to entertain the writ against the final Section 126 assessment because a statutory alternative remedy of appeal under Section 127 was available (following SOUTHCO v. Seetaram Rice Mill).**

Source file: WRIC(A)_8168_2017.pdf

HEADNOTE

M/s Rubi Ice Factory sought to quash a demand notice dated 30.12.2016 and the provisional and final assessments made after an inspection of its premises on 9.4.2016 and the lodging of an FIR for theft of electricity. It contended that, once an FIR under Section 135 of the Electricity Act, 2003 is lodged, the assessment must follow the procedure under that section and Clause 8 of the U.P. Electricity Supply Code, 2005, and that Section 126 of the Act and Clause 6.8 of the Code do not apply. The Division Bench rejected this contention. Applying its earlier decision in Sandeep Kesarwani v. State of U.P., 2014(2) ADJ 442, it held that all instances in Section 135(1) are instances of 'unauthorised use of electricity' within explanation (b) to Section 126 - unauthorised use being the genus and Section 135 theft a species - so a Section 126 assessment must follow even where an FIR under Section 135 is lodged and the trial is pending, the Special Court determining civil liability and further action being taken under Section 154(6). On the anterior question whether the writ should be entertained, the Court, following the Supreme Court in Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill, (2012) 2 SCC 108, held that a High Court should normally decline under Article 226 to interfere with a final Section 126(3) assessment and that, a statutory appeal under Section 127 being available, it was not appropriate to entertain the petition. The writ petition was accordingly dismissed.

FACTUAL SUMMARY

The petitioner, M/s Rubi Ice Factory (through its proprietor Nagina Bagum), by Writ - C No. 8168 of 2017 sought the quashing of a demand notice dated 30 December 2016 together with the provisional assessment and the final assessment made by the respondent distribution licensee (Dakshinanchal Vidyut Vitaran Nigam Ltd.). Officers of the licensee had inspected the petitioner's premises on 9 April 2016 and an FIR was lodged for theft of electricity. Before the Division Bench the petitioner argued that, an FIR having been lodged under Section 135 of the Electricity Act, 2003, the assessment had to follow the procedure under that section and Clause 8 of the U.P. Electricity Supply Code, 2005, and that Section 126 of the Act and the procedure under Clause 6.8 of the Code would not apply. The respondents, relying on the Division Bench decision in Sandeep Kesarwani v. State of U.P., 2014(2) ADJ 442, submitted that a provisional assessment can be carried out only under Section 126 and that the petitioner's remedy was a statutory appeal under Section 127. The Court reproduced the relevant portions of Sections 126, 127 and 135 of the Act. The petitioner was represented by Sri Kailash Nath Kesharwani and the respondents by Sri Baleshwar Chaturvedi and Sri Nripendra Mishra. The matter was decided by a reasoned judgment on 9 March 2017 (earlier order-sheet entries between 21.2.2017 and 8.3.2017 concerned pleadings and listing).

REUSABLE CONSTRUCTIONS

1. All instances of theft under Section 135(1) of the Electricity Act, 2003 are instances of 'unauthorised use of electricity' within explanation (b) to Section 126; unauthorised use is the genus and Section 135 theft a species, so a Section 126 assessment must follow even where an FIR under Section 135 is lodged and the criminal trial is pending (Sandeep Kesarwani applied). *judgment of 9.3.2017*
2. In a theft case the Special Court trying the offence finally determines the civil liability, and after that determination further action is taken under Section 154(6) of the Act. *judgment of 9.3.2017*
3. A writ under Article 226 against a final Section 126(3) assessment will not ordinarily be entertained where the assessee has a statutory alternative remedy of appeal under Section 127 (SOUTHCO v. Seetaram Rice Mill applied). *judgment of 9.3.2017*

HOLDING-UNIT · EA2003::126**RATIO**

A Section 126 assessment must be made even where the conduct is theft under Section 135; the Special Court determines civil liability under Section 154(6)

QUESTION

Where an FIR for theft of electricity has been lodged under Section 135 and the trial is pending before the Special Court, can and must the assessment nonetheless be made under Section 126 of the Electricity Act, 2003, or is Section 126 inapplicable so that liability is to be determined only by the Special Court?

HOLDING

Section 126 applies. Following the Division Bench in *Sandeep Kesarwani v. State of U.P.*, 2014(2) ADJ 442, all instances in Section 135(1) are instances of 'unauthorised use of electricity' as defined in explanation (b) to Section 126 - unauthorised use is the genus and theft under Section 135 a species of it - so an assessment under Section 126 has to follow whenever there is unauthorised use, even where an FIR under Section 135 has been lodged and the criminal trial is pending. The Special Court trying the offence finally determines the civil liability, and after such determination further action is taken under Section 154(6). The petitioner's contention that, an FIR under Section 135 having been lodged, no Section 126 assessment could be undertaken was therefore rejected. **judgment of 9.3.2017**

QUALIFIER

The point was decided by applying *Sandeep Kesarwani* (a Division Bench of the same Court); the Court did not examine the merits or quantum of the assessment.

EVIDENCE *"assessment under Section 126 of the Act, 2003 has to follow whenever unauthorised use of electricity is made by a person or a consumer"* **judgment of 9.3.2017 (quoting Sandeep Kesarwani)**

EVIDENCE *"Assessment has to be carried out under Section 126 of the Act and that the Special Court trying an offence is to finally determine the liability and after determination of civil liability for further action to be taken in accordance with the provisions of section 154(6) of the Act."* **judgment of 9.3.2017**

EVIDENCE *"As noted above, assessment can be carried out only under Section 126 of the Act."* **judgment of 9.3.2017**

FLAG Source is an order-sheet (21.2.2017-8.3.2017) leading to a reasoned judgment on 9.3.2017; that judgment carries printed page numbers 1-7, but pins are given by order/judgment date for consistency.

HOLDING-UNIT · EA2003::127**RATIO**

Writ not entertained against a final Section 126 assessment where the Section 127 statutory appeal is available

QUESTION

Should the High Court entertain a writ petition under Article 226 challenging a final assessment under Section 126 when a statutory appeal under Section 127 of the Act is available to the petitioner?

HOLDING

No. Following the Supreme Court in *Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill*, (2012) 2 SCC 108, the High Court should normally decline to interfere, in exercise of Article 226 jurisdiction, with a final order of assessment passed by the assessing officer in terms of Section 126(3). As the petitioner had a statutory alternative remedy of appeal under Section 127, it was not appropriate for the Court to entertain the writ petition, which was accordingly dismissed. **judgment of 9.3.2017**

QUALIFIER

Dismissal is on the ground of alternative remedy; the source text renders the statutory appeal as 'Section 127 of the Code', evidently a slip for Section 127 of the Act.

EVIDENCE *"the High Court should normally decline to interfere with the final order of the assessment passed by the Assessing Officer in terms of Section 126(3) of the Act in exercise of jurisdiction under Article 226 of the Constitution of India"* **judgment of 9.3.2017**

EVIDENCE *"when the petitioner has a statutory alternative remedy available under Section 127 of the Code, it will not be appropriate for the Court to entertain this petition"* **judgment of 9.3.2017**

EVIDENCE *"The writ petition, is accordingly, dismissed."* **judgment of 9.3.2017**

section-126-assessment-applies-to-section-135-theft A Section 126 assessment must be made even where the conduct constitutes theft under Section 135 and the criminal trial is pending; unauthorised use is the genus and Section 135 theft a species, with the Special Court determining civil liability under Section 154(6). Lead authorities: *Sandeep Kesarwani v. State of U.P.* [SCJ-111]. **judgment of 9.3.2017**

alternative-remedy-section-127-appeal A writ against a final Section 126(3) assessment is not entertained where a Section 127 statutory appeal is available; the High Court normally declines to interfere under Article 226. Lead authorities: *Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill* [SCJ-041]. **judgment of 9.3.2017**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS OF THE THEFT ALLEGATION AND THE CORRECTNESS OR QUANTUM OF THE PROVISIONAL AND FINAL ASSESSMENTS AND THE DEMAND NOTICE DATED 30.12.2016.

Not examined; the writ was dismissed on the ground of alternative remedy, leaving the petitioner to the Section 127 appeal. **judgment of 9.3.2017**

NOT DECIDED — WHETHER, IN A SECTION 135 THEFT CASE, THE ASSESSMENT PROCEDURE TO BE FOLLOWED IS CLAUSE 8 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 (AS THE PETITIONER CONTENDED) RATHER THAN CLAUSE 6.8.

Raised by the petitioner but not separately resolved; the Court rejected the anterior contention that Section 126 was inapplicable and dismissed the writ on alternative-remedy grounds. **judgment of 9.3.2017**

RELATED CASES — SEE ALSO

SCJ-111 — *Sandeep Kesarwani v. State of U.P.* - the Division Bench precedent applied here: a Section 126 assessment must be made even where the conduct also constitutes theft under Section 135, the Special Court determining civil liability under Section 154(6).

SCJ-041 — *Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill (SC)* - relied on for the principle that the High Court should decline under Article 226 to interfere with a final Section 126(3) assessment where the Section 127 appeal lies.

SCJ-040 — *Kapil Gupta v. U.P. Power Corpn.* - a writ against a Section 126 provisional/final assessment is not ordinarily entertained where a Section 127 appeal is available; parallel alternative-remedy dismissal.

SCJ-061 — *M/s Om Ice Factory v. State of U.P.* - writ challenging a provisional/final assessment on facts relegated to the Section 127 statutory appeal; sibling on the alternative-remedy bar.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sandeep Kesarwani v. State of U.P.</i> 2014(2) ADJ 442 (DB) [SCJ-111] High Court of Judicature at Allahabad	In a theft-of-electricity case an assessment under Section 126 of the Electricity Act, 2003 must be made even where an FIR under Section 135 is lodged and the trial is pending; unauthorised use of electricity is the genus and Section 135 theft a species, and the Special Court determines the civil liability, with further action under Section 154(6).	Followed judgment of 9.3.2017	Respondent	Followed
<i>Executive Engineer, Southern Electricity Supply Company of Orissa Ltd. (SOUTHCO) v. Sri Seetaram Rice Mill</i> (2012) 2 SCC 108 [SCJ-041] Supreme Court of India	The High Court should normally decline to interfere, in exercise of Article 226 jurisdiction, with a final order of assessment passed by the assessing officer under Section 126(3) of the Electricity Act, 2003, where a statutory appeal under Section 127 is available.	Relied on judgment of 9.3.2017	Court	Relied on

